

FEDERAL MARITIME COMMISSION

46 CFR PART 540

[DOCKET NO. 94-06]

FINANCIAL RESPONSIBILITY REQUIREMENTS
FOR NONPERFORMANCE OF TRANSPORTATION

AGENCY: Federal Maritime Commission.

ACTION: Proposed Rule.

SUMMARY: The Federal Maritime Commission proposes to remove the \$15 million unearned passenger revenue ("UPR") ceiling now applicable to passenger vessel financial responsibility requirements for nonperformance of transportation, because some vessel operators now have UPRs significantly exceeding \$15 million. The Commission also proposes to revise the current UPR sliding scale accordingly -- and to require coverage of 110 percent of UPR up to \$25 million per operator, with coverage of 90 percent of UPR for amounts exceeding \$25 million. Comment is also sought on an alternative proposal to require coverage of 110 percent of UPR up to \$25 million per operator; 75 percent of UPR between \$25 million and \$50 million per operator; and 50 percent coverage for UPR over \$50 million per operator. Additionally, the Commission proposes to remove self-insurance as an option for section 3 coverage (except for state or federal entities). Existing self-insured commercial operators would be provided one year following the effective date of any final rule in this matter to obtain other evidence

of financial responsibility. These changes are deemed necessary to ensure that cruise passengers are adequately protected in the event of nonperformance of transportation.

DATE: Comments due on or before [insert date 30 days after publication in the Federal Register].

ADDRESS: Send comments (original and 20 copies) to:

Joseph C. Polking
Secretary
Federal Maritime Commission
800 North Capitol St., NW
Washington, DC 20573
(202) 523-5725

FOR FURTHER INFORMATION, CONTACT:

Bryant L. VanBrakle
Director, Bureau of Tariffs,
Certification and Licensing
Federal Maritime Commission
800 North Capitol St., NW
Washington, DC 20573
(202) 523-5796

SUPPLEMENTARY INFORMATION:

The Federal Maritime Commission ("Commission" or "FMC") administers section 3, Public Law 89-777, 46 U.S.C. app. 817e ("Section 3"). Section 3 requires certain passenger vessel operators ("PVOs") to establish financial responsibility for nonperformance of transportation.' The Commission's regulations

'Section 3 provides, in pertinent part:

(a) No person in the United States shall arrange, offer, advertise, or provide passage on a vessel having berth or stateroom accommodations for fifty or more passengers and which is to embark passengers at United States ports without there first having been filed with the Federal Maritime Commission

(continued...)

implementing Section 3, contained in 46 CFR 540, Subpart A, generally provide that a PVO may evidence its financial responsibility by one or more of the following methods: a guaranty, escrow arrangement, surety bond, insurance or self-insurance. The amount required must equal 110 percent of the PVO's highest UPR over a two-year period.² The maximum coverage amount currently required is \$15 million, subject to the following sliding scale:³

¹(...continued)

Commission such information as the Commission may deem necessary to establish the financial responsibility of the person arranging, offering, advertising, or providing such transportation, or, in lieu thereof, a copy of a bond or other security, in such form as the Commission, by rule or regulation, may require and accept, for indemnification of passengers for nonperformance of the transportation.

²UPR is defined under 46 CFR 540.2(i) as:

. . . that passenger revenue received for water transportation and all other accommodations, services, and facilities relating thereto not yet performed.

³The Commission, in Docket No. 92-19, Revision of Financial Responsibility Requirements for Non-Performance of Transportation, amended 46 CFR Part 540, Subpart A, to (1) institute this sliding scale formula for determining the amount of financial responsibility coverage required for operators meeting certain requirements; (2) exclude, under certain conditions, revenue from "whole-ship" arrangements from being considered UPR; and (3) publish a suggested form escrow arrangement as a guideline for the industry (57 FR 51887 (September 14, 1992)).

UNEARNED PASSENGER REVENUE
("UPR")

REQUIRED COVERAGE

\$0-\$5,000,000	100% of UPR up to \$5,000,000
\$5,000,001 to \$15,000,000	\$5,000,000 plus 50% of excess UPR over \$5,000,000 subject to an overall maximum of \$5,000,000 per vessel
\$15,000,001 to \$35,000,000	\$10,000,000 plus 25% of excess of UPR over \$15,000,000 subject to an overall maximum of \$5,000,000 per vessel and a \$15,000,000 overall maximum
over \$35,000,000	\$15,000,000 overall maximum

The Commission monitors activity of PVOs who are subject to Public Law 89-777 and by rule requires semiannual UPR reports.⁴ Additionally, the Commission periodically surveys PVOs' future U.S. cruise schedules and fare structures.

Developments since our most recent actions in Dockets Nos. 92-

⁴46 CFR 540.9(h) provides, in pertinent part:

Every person who has been issued a Certificate (Performance) must submit to the Commission a semiannual statement of any changes that have taken place with respect to the information contained in the application or documents submitted in support thereof. Negative statements are required to indicate no change. Such statements must cover every 6-month period of the fiscal year immediately subsequent to the date of the issuance of the Certificate (Performance), and include a statement of the highest unearned passenger revenue accrued for each month in the 6-month reporting period. In addition, the statement will be due within 30 days after the close of every such 6-month period.

19 and 92-50⁵ have prompted us to reconsider existing UPR coverage requirements with regard to the sliding scale, the ceiling and self-insurance. One development concerns the involuntary bankruptcy of American Hawaii Cruises ("American Hawaii"). Another is the extent to which some PVOs' UPR now exceeds the current \$15 million ceiling.

Further, with regard to self-insuring PVOs that are not state or federal entities, the Commission is concerned that sufficient funds may not be available to indemnify passengers for nonperformance of transportation.

While American Hawaii's vessels operated without disruption in their transition to new ownership, if American Hawaii's required level of financial responsibility had been based on the existing sliding scale formula, no more than a total of \$10 million in UPR coverage would have been required for UPR amounts up to \$35 million for its two vessels; and no more than \$15 million in coverage would have been required had its UPR exceeded \$35 million.

Some PVOs' UPR now greatly exceeds the current \$15 million ceiling -- in some instances by a factor of several times the current ceiling. In aggregate, there is about \$300 million in coverage presently on file for what we estimate to be \$1 billion in UPR subject to Pub. L. 89-777, leaving some \$700 million in UPR without Section 3 coverage.

The foregoing raises concern with regard to the increased

⁵Financial Responsibility Requirements for Nonperformance of Transportation -- Revision of Self-insurance Qualification Standards, Final Rule (57 FR 62749 (December 31, 1992)).

exposure to risk of the travelling public's deposits and prepaid fares in the event that a PVO holding UPR levels above the current ceiling defaults, possibly leaving passengers unprotected and subject to financial losses. The Commission therefore proposes to remove the \$15 million ceiling in 46 CFR 540.9(j) -- and revise the sliding scale in section 540.5(e) -- to require coverage for UPR over and above the present ceiling. The Commission proposes to amend section 540.5 to require coverage of 110 percent of UPR up to \$25 million per operator, and coverage of 90 percent of UPR for amounts exceeding \$25 million. Comment is requested on the alternative of requiring 110 percent coverage for up to \$25 million in UPR per operator: coverage of 75 percent for UPR between \$25 million and \$50 million per operator; and 50 percent coverage for UPR over \$50 million per operator.

Given its clear Section 3 responsibilities and obligations, the Commission needs to address the amount of UPR subject to Section 3 which is not presently covered by evidence of financial responsibility under the Commission's rules. The Commission's proposals detailed above represent two approaches to that end. However, if the PVO industry or another interested party has an alternative proposal to ensure adequate financial responsibility coverage for UPR subject to Section 3, we invite their suggestions.

The Commission's monitoring and review of PVO coverage issues in general indicates a need for the Commission to reconsider the acceptability of self-insurance for Section 3 coverage with regard to PVOs that are not state or federal entities. Our examination of

self-insurance standards reveals a vulnerability which appears to provide inadequate protection in the case of commercial PVOs. Presently, only net worth at 110 percent of the highest UPR over the past two years must be maintained. The Commission is concerned that, in the event of a default, other interests with potentially superior claims on a PVO's assets -- e.g., a vessel's crew, shipyards, provisioners, mortgage holders -- would reduce the assets ultimately available to indemnify nonperformance to a level far below the PVO's actual UPR. Even if the Commission were to reinstate its former requirement that self-insurers evidence net worth and working capital, each in an amount no less than 110 percent of the greatest amount of UPR over the preceding two years, sufficient assets might still not be readily available to make whole the travelling public in the event of a default. These concerns do not, however, appear to militate against accepting state or federal entities as self-insurers.

While the Proposed Rule would discontinue self-insurance for commercial entities, it would permit commercial operators who are presently self-insured to remain so for one year following the effective date of any final rule in this proceeding. At that time, self-insuring commercial PVOs would be required to provide other evidence of financial responsibility.

Proposed amendments to Form FMC-131, Part II, will conform the Commission's Application for Certificate of Financial Responsibility to reflect the amendments contemplated in the proposed rule.

The Federal Maritime Commission certifies, pursuant to section 605(b) of the Regulatory Flexibility Act, 5 U.S.C. 605(b), that this proposed rule, if adopted, will not have a significant economic impact on a substantial number of small entities, including small businesses, small organizational units, and small governmental organizations. The passenger vessel operators impacted by the rule are generally not small businesses.

This proposed rule does not impose any additional reporting requirements from those previously approved by OMB under section 3504(h) of the Paperwork Reduction Act of 1980, as amended.

List of Subjects in 46 CFR Part 540:

Insurance, Maritime carriers, Penalties, Reporting and record keeping requirements, Surety bonds, Transportation.

Therefore, pursuant to 5 U.S.C. 553; section 3, Pub. L. 89-777, 80 Stat. 1356-1358 (46 U.S.C. app. 817e); section 43 of the Shipping Act, 1916 (46 U.S.C. app. 841a); and section 17 of the Shipping Act of 1984 (46 U.S.C. app. 1716), the Federal Maritime Commission proposes to amend Part 540 of Title 46 of the Code of Federal Regulations as follows:

Part 540 - [AMENDED]

1. The authority citation to Part 540 continues to read:
Authority: 5 U.S.C. 552, 553; secs. 2 and 3, Pub. L. 89-777, 80 Stat. 1356-1358 (46 U.S.C. app. 817e, 817d); sec. 43 of the Shipping Act, 1916 (46 U.S.C. app. 841a); sec 17 of the Shipping Act of 1984 (46 U.S.C. app. 1716).

2. The first sentence of section 540.5, introductory

paragraph, is revised to read as follows:

§ 540.5 Insurance, guaranties, escrow accounts, and self-insurance

The amount of coverage required under this section and § 540.6(b) shall be in an amount determined by the Commission to be no less than 110 percent of the unearned passenger revenue of the applicant on the date within the 2 fiscal years immediately prior to the filing of the application which reflects the greatest amount of unearned passenger revenue according to the following schedule:

<u>If Unearned passenger revenue ("UPR") is:</u>	<u>Required coverage is:</u>
\$0-\$25,000,000	110% of UPR
Over \$25,000,000	110% of UPR up to \$25,000,000; 90% of UPR over \$25,000,000

* * *

* * * * *

3. The introductory text of § 540.5(d) is revised to read as follows:

(d) For state or federal entity vessel operators, filing with the Commission for qualification as a self-insurer such evidence acceptable to the Commission as will demonstrate continued and stable passenger operations over an extended period of time in the foreign or domestic trade of the United States. Commercial (i.e., non state or federal) vessel operators will no longer qualify as self-insurers. However, for a period expiring [insert date one year after the effective date of the Final Rule], the Commission will continue to permit self-insurance for commercial vessel operators which were accepted by the Commission on January 1, 1994,

and which continue to submit the following:

* * * * *

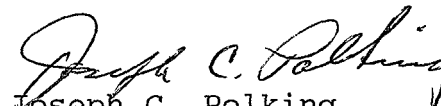
4. In section 540.5, paragraph (e) is removed, and paragraph (f) is redesignated as paragraph (e).

5. In section 540.9, paragraph (j) is removed, and paragraph (k) is redesignated as paragraph (j).

6. Form FMC-131, Part II - Performance, introductory paragraph, is amended by removing the second sentence. Paragraph No. 8 is also removed. Paragraphs No. 9 through No. 15 are redesignated as paragraphs No. 8 through No. 14.

* * * * *

By the Commission.


Joseph C. Polking
Secretary

94-06

Dated: March 16, 1994.
 William J. Muszynski, P.E.,
 Acting Regional Administrator.
 [FR Doc. 94-7400 Filed 3-30-94; 8:45 am]
 BILLING CODE 6560-60-P

FEDERAL MARITIME COMMISSION

46 CFR Part 540

[Docket No. 94-06]

Financial Responsibility Requirements for Nonperformance of Transportation

AGENCY: Federal Maritime Commission.

ACTION: Proposed Rule:

SUMMARY: The Federal Maritime Commission proposes to remove the \$15 million unearned passenger revenue ("UPR") ceiling now applicable to passenger vessel financial responsibility requirements for nonperformance of transportation, because some vessel operators now have UPRs significantly exceeding \$15 million. The Commission also proposes to revise the current LJPR sliding scale accordingly and to require coverage of 110 percent of UPR up to \$25 million per operator, with coverage of 90 percent of UPR for amounts exceeding \$25 million. Comment is also sought on an alternative proposal to require coverage of 110 percent of UPR up to \$25 million per operator; 75 percent of UPR between \$25 million and \$50 million per operator; and 50 percent coverage for UPR over \$50 million per operator. Additionally, the Commission proposes to remove self-insurance as an option for section 3 coverage (except for state or federal entities). Existing self-insured commercial operators would be provided one year following the effective date of any final rule in this matter to obtain other evidence of financial responsibility. These changes are deemed necessary to ensure that cruise passengers are adequately protected in the event of nonperformance of transportation.

DATES: Comments due on or before May 2, 1994.

ADDRESSES: Send comments (original and 20 copies) to: Joseph C. Polking, Secretary, Federal Maritime Commission, 800 North Capitol St., NW., Washington, DC 20573, (202) 523-5725.

FOR FURTHER INFORMATION CONTACT: Bryant L. VanBrakle, Director, Bureau of Tariffs, Certification and Licensing, Federal Maritime Commission, 800 North Capitol St., NW., Washington, DC 20573, (202) 523-5796.

SUPPLEMENTARY INFORMATION: The Federal Maritime Commission ("Commission" or "FMC") administers section 3, Public Law 89-777, 46 U.S.C. app. 817e ("Section 3"). Section 3 requires certain passenger vessel operators ("PVOs") to establish financial responsibility for nonperformance of transportation.¹ The Commission's regulations implementing Section 3, contained in 46 CFR part 540, subpart A, generally provide that a PVO may evidence its financial responsibility by one or more of the following methods: A guaranty, escrow arrangement, surety bond, insurance or self-insurance. The amount required must equal 110 percent of the PVO's highest UPR over a two-year period.* The maximum coverage amount currently required is \$15 million, subject to the following sliding scale:³

Unearned passenger revenue ("UPR")	Required coverage
\$0-\$5,000,000	100% of UPR up to \$5,000,000.
\$5,000,001 to \$15,000,000.	\$5,000,000 plus 50% of excess UPR over \$5,000,000 subject to an overall maximum of \$5,000,000 per vessel.

¹ Section 3 provides, in pertinent part:

(a) No person in the United States shall arrange, offer, advertise, or provide passage on a vessel having berth or stateroom accommodations for fifty or more passengers and which is to embark passengers at United States ports without there first having been filed with the Federal Maritime Commission such information as the Commission may deem necessary to establish the financial responsibility of the person arranging, offering, advertising, or providing such transportation, or, in lieu thereof, a copy of a bond or other security, in such form as the Commission, by rule or regulation, may require and accept, for indemnification of passengers for nonperformance of the transportation.

² UPR is defined under 46 CFR 540.2(i) as:

* * * that passenger revenue received for water transportation and all other accommodations, services, and facilities relating thereto not yet performed.

³ The Commission, in Docket No. 92-19, Revision of Financial Responsibility Requirements for Non Performance of Transportation, amended 46 CFR Part 540, Subpart A, to (1) institute this sliding scale formula for determining the amount of financial responsibility coverage required for operators meeting certain requirements: (2) exclude, under certain conditions, revenue from "whole-ship" arrangements from being considered UPR; and (3) publish a suggested form escrow arrangement as a guideline for the industry (57 FR 51887 (September 14, 1992)).

Unearned passenger revenue ("UPR")	Required coverage
\$15,000,001 to \$35,000,000.	\$1,000,000 plus 25% of excess of UPR over \$15,000,000 subject to an overall maximum of \$5,000,000 per vessel and a \$15,000,000 overall maximum.
Over \$35,000,000	\$15,000,000 overall maximum.

The Commission monitors activity of PVOs who are subject to Public Law 89-777 and by rule requires semiannual UPR reports.⁴ Additionally, the Commission periodically surveys PVOs future U.S. cruise schedules and fare structures.

Developments since our most recent actions in Dockets Nos. 92-19 and 92-505 have prompted us to reconsider existing UPR coverage requirements with regard to the sliding scale, the ceiling and self-insurance. One development concerns the involuntary bankruptcy of American Hawaii Cruises ("American Hawaii"). Another is the extent to which some PVOs' UPR now exceeds the current \$15 million ceiling.

Further, with regard to self-insuring PVOs that are not state or federal entities, the Commission is concerned that sufficient funds may not be available to indemnify passengers for nonperformance of transportation.

While American Hawaii's vessels operated without disruption in their transition to new ownership, if American Hawaii's required level of financial responsibility had been based on the existing sliding scale formula, no more than a total of \$10 million in UPR coverage would have been required for UPR amounts up to \$35 million for its two vessels; and no more than \$15 million in coverage would have been required had its UPR exceeded \$35 million.

⁴ 46 CFR 540.9(h) provides, in pertinent part:

Every person who has been issued a Certificate (Performance) must submit to the Commission a semiannual statement of any changes that have taken place with respect to the information contained in the application or documents submitted in support thereof. Negative statements are required to indicate no change. Such statements must cover every 6-month period of the fiscal year immediately subsequent to the date of the issuance of the Certificate (Performance), and include a statement of the highest unearned passenger revenue accrued for each month in the 6-month reporting period. In addition, the statement will be due within 30 days after the close of every such 6-month period.

⁵ Financial Responsibility Requirements for Nonperformance of Transportation—Revision of Self-insurance Qualification Standards. Final Rule (57 FR 62749 (December 31, 1992)).

Some PVOs' UPR now greatly exceeds the current \$25 million ceiling—in some instances by a factor of several times the current ceiling. In aggregate, there is about \$300 million in coverage presently on file for what we estimate to be \$1 billion in UPR subject to Public Law 89-777, leaving some \$700 million in UPR without Section 3 coverage.

The foregoing raises concern with regard to the increased exposure to risk of the travelling public's deposits and prepaid fares in the event that a PVO holding UPR levels above the current ceiling defaults, possibly leaving passengers unprotected and subject to financial losses. The Commission therefore proposes to remove the \$15 million ceiling in 46 CFR 540.9(j)—and revise the sliding scale in section 540.5(e)—to require coverage for UPR over and above the present ceiling. The Commission proposes to amend section 540.5 to require coverage of 110 percent of UPR up to \$25 million per operator, and coverage of 90 percent of UPR for amounts exceeding \$25 million. Comment is requested on the alternative of requiring 110 percent coverage for up to \$25 million in UPR per operator; coverage of 75 percent for UPR between \$25 million and \$50 million per operator; and 50 percent coverage for UPR over \$50 million per operator.

Given its clear Section 3 responsibilities and obligations, the Commission needs to address the amount of UPR subject to Section 3 which is not presently covered by evidence of financial responsibility under the Commission's rules. The Commission's proposals detailed above represent two approaches to that end. However, if the PVO industry or another interested party has an alternative proposal to ensure adequate financial responsibility coverage for UPR subject to section 3, we invite their suggestions.

The Commission's monitoring and review of PVO coverage issues in general indicates a need for the Commission to reconsider the acceptability of self-insurance for section 3 coverage with regard to PVOs that are not state or federal entities. Our examination of self-insurance standards reveals a vulnerability which appears to provide inadequate protection in the case of commercial PVOs. Presently, only net worth at 110 percent of the highest UPR over the past two years must be maintained. The Commission is concerned that, in the event of a default, other interests with potentially superior claims on a PVO's assets—e.g., a vessel's crew, shipyards, provisioners, mortgage holders—would reduce the assets ultimately available to indemnify nonperformance to a level far below the

PVO's actual UPR. Even if the Commission were to reinstate its former requirement that self-insurers evidence net worth and working capital, each in an amount no less than 110 percent of the greatest amount of UPR over the preceding two years, sufficient assets might still not be readily available to make whole the travelling public in the event of a default. These concerns do not, however, appear to militate against accepting state or federal entities as self-insurers.

While the Proposed Rule would discontinue self-insurance for commercial entities, it would permit commercial operators who are presently self-insured to remain so for one year following the effective date of any final rule in this proceeding. At that time, self-insuring commercial PVOs would be required to provide other evidence of financial responsibility.

Proposed amendments to Form FMC-131, Part II, will conform the Commission's Application for Certificate of Financial Responsibility to reflect the amendments contemplated in the proposed rule.

The Federal Maritime Commission certifies, pursuant to section 605(b) of the Regulatory Flexibility Act, 5 U.S.C. 605(b), that this proposed rule, if adopted, will not have a significant economic impact on a substantial number of small entities, including small businesses, small organizational units, and small governmental organizations. The passenger vessel operators impacted by the rule are generally not small businesses.

This proposed rule does not impose any additional reporting requirements from those previously approved by OMB under section 3504(h) of the Paperwork Reduction Act of 1980, as amended.

List of Subjects in 46 CFR Part 540

Insurance, Maritime carriers, Penalties, Reporting and recordkeeping requirements, Surety bonds, Transportation.

Therefore, pursuant to 5 U.S.C. 553; section 3, Public Law 89-777, 80 Stat. 1356-1358 (46 U.S.C. app. 817e); section 43 of the Shipping Act, 1916 (46 U.S.C. app. 841a); and section 17 of the Shipping Act of 1984 (46 U.S.C. app. 1716), the Federal Maritime Commission proposes to amend part 540 of title 46 of the Code of Federal Regulations as follows:

PART 540—[AMENDED]

1. The authority citation to part 540 continues to read as follows:

Authority: 5 U.S.C. 552,553; secs. 2 and 3, Pub.L. 89-777, 80 Stat. 1356-1358 (46 U.S.C. app. 817e, 817d); sec. 43 of the Shipping Act, 1916 (46 U.S.C. app. 841a); sec. 17 of the Shipping Act of 1984 (46 U.S.C. app. 1716).

2. The first sentence of § 540.5 introductory text and § 540.5(d) introductory text are revised to read as follows:

§ 540.5 insurance, guaranties, escrow accounts, and self-insurance.

The amount of coverage required under this section and § 540.6(b) shall be in an amount determined by the Commission to be no less than 110 percent of the unearned passenger revenue of the applicant on the date within the 2 fiscal years immediately prior to the filing of the application which reflects the greatest amount of unearned passenger revenue according to the following schedule:

<i>If Unearned passenger revenue ("UPR") is:</i>	<i>Required coverage is</i>
0-\$25,000,000	10% of UPR.
Over \$25,000,000	110% of UPR up to \$25,000,000; 90% of UPR over \$25,000,000.

• • •

* • • • *

(d) For state or federal entity vessel operators, filing with the Commission for qualification as a self-insurer such evidence acceptable to the Commission as will demonstrate continued and stable passenger operations over an extended period of time in the foreign or domestic trade of the United States. Commercial (i.e., non state or federal) vessel operators will no longer qualify as self-insurers. However, for a period expiring [date one year after the effective date of the Final Rule], the Commission will continue to permit self-insurance for commercial vessel operators which were accepted by the Commission on January 1, 1994, and which continue to submit the following

* * * * *

\$540.5 [Amended]

3. In section 540.5, paragraph (e) is removed, and paragraph (f) is redesignated as paragraph (e).

§ 540.9 [Amended]

4. In section 549.9, paragraph (j) is removed, and paragraph (k) is redesignated as paragraph (j).

Subpart A—[Amended]

5. In subpart A, Form FMC-131, Part B-Performance, is amended by removing the second sentence of the

introductory paragraph and removing and reserving paragraph No. 8.

By the Commission.

Joseph C. Poking,

Secretary.

[FR Doc. 94-7647 Filed 3-30-94; 8:45 am]

BILLING CODE 6730-01-P

DEPARTMENT OF DEFENSE

48 CFR Parts 269 and 252

Defense Federal Acquisition Regulation Supplement; Joint Ventures

AGENCY: Department of Defense (DoD).

ACTION: Withdrawal of proposed rule.

SUMMARY: The rule, published December 1 1992 (57 FR 56895), which proposed revisions to the Defense Federal Acquisition Regulation Parts 219 and 252 to incorporate policy on eligibility of joint ventures for small disadvantaged business evaluation and award preferences is hereby withdrawn. This action is based on the United States Court of Federal Claims decision Number 93-738, Filed February 18, 1994 (**Y.S.K.** Construction Company versus The United States).

FOR FURTHER INFORMATION CONTACT: Ms. Alyce Sullivan, telephone (703) 604-5930.

SUPPLEMENTARY INFORMATION: The Defense Acquisition Regulations Council, under DAR Case 91-054, proposed a revision to the Defense FAR Supplement in December 1992 that addressed the eligibility of joint ventures for small disadvantaged business evaluation and award preferences. After a review of the United States Court of Federal Claims decision Number 93-738, the DAR Council has agreed to withdraw the proposed rule from further consideration. The court found that DoD is without authority to

address whether joint ventures are small disadvantaged businesses, that the Small Business Administration has this authority. Therefore, the proposed rule published on December 1, 1992 (57 FR 56895) is hereby withdrawn.

Claudia L. Naugle.

Deputy Director, Defense Acquisition Regulations Council

[FR Doc. 94-7638 Filed 3-30-94; 8:45 am]

BILLING CODE 381041-M

DEPARTMENT OF COMMERCE

National Oceanic and Atmospheric Administration

50 CFR Part 654

[I.D.032294B]

Stone Crab Fishery of the Gulf of Mexico; Public Hearings

AGENCY: National Marine Fisheries Service (NMFS), National Oceanic and Atmospheric Administration (NOAA), Commerce.

ACTION: Notice of public hearings; request for comments.

SUMMARY: The Gulf of Mexico Fishery Management Council (Council) will convene four public hearings on Draft Amendment 5 to the Fishery Management Plan for the Stone Crab Fishery of the Gulf of Mexico. Amendment 5 proposes: to establish a moratorium on registration of commercial vessels for up to 4 years to establish compatibility with a Florida statute implementing a moratorium on permits; and provide a framework measure under which rules adopted by Florida can be implemented in the exclusive economic zone by regulatory amendment approved by NMFS. Under the measure, Florida will hold public hearings and provide NMFS and the Council with the administrative record.

DATES: Written comments on the proposed amendment must be received by April 29, 1994. The hearings are scheduled from 7:00 p.m. to 10:00 p.m. as follows: Monday, April 18, 1994, in Marathon, FL; Tuesday, April 19, 1994, in Naples, FL; Wednesday, April 20, 1994, in Crystal River, FL, and Thursday, April 21, 1994, in Tallahassee, FL.

ADDRESSES: Comments should be addressed to Wayne E. Swingle, Executive Director, Gulf of Mexico Fishery Management Council, 5401 West Kennedy Boulevard, Suite 331, Tampa, FL 33609; FAX: 813-225-7015. The hearings will be held at the following locations:

1. Marathon, FL—Regional Service Center, State Building, Suites 104 & 105, 2796 Overseas Highway (U.S. Highway 1), Marathon, FL.
2. Naples, FL—Naples Depot Civic Center, 1051 5th Avenue South, Naples, FL.
3. Crystal River, FL—Plantation Inn and Golf Resort, 9301 West Fort Island Trail, Crystal River, FL.
4. Tallahassee, FL—La Quinta Inn-South, 2850 Apalachee Parkway (U.S. Highway 27 South), Tallahassee, FL.

FOR FURTHER INFORMATION CONTACT: Wayne E. Swingle, 813-228-2815.

SUPPLEMENTARY INFORMATION: These hearings are physically accessible to people with disabilities. Requests for sign language interpretation or other auxiliary aids should be directed to Julie Krebs (see ADDRESSES) 5 working days prior to the applicable meeting.

Dated: March 25, 1994

Joe P. Clem,

Acting Director, Office of Fisheries Conservation and Management National Marine Fisheries Service.

[FR Doc. 94-7601 Filed 3-30-94; 8:45 am]

BILLING CODE 3510-22-P

94-06

18443

Corrections

Federal Register

Vol. 59, No. 74

Monday, April 18, 1994

This section of the FEDERAL REGISTER contains editorial corrections of previously published Presidential, Rule, Proposed Rule, and Notice documents. These corrections are prepared by the Office of the Federal Register. Agency prepared corrections are issued as signed documents and appear in the appropriate document categories elsewhere in the issue.

FEDERAL MARITIME COMMISSION --

46 CFR Part 540

[Docket No. 94-06]

Financial Responsibility Requirements for Nonperformance of Transportation

Correction

In proposed rule document 94-7647 beginning on page 15149 in the issue of Thursday, March 31, 1994, make the following correction:

§ 540.5 [Corrected]

On page 15150, in the third column, in the table, in the second column, in the first entry, "10% of UPR." should read "110% of UPR."

BILLING CODE 1505-01-D

DEPARTMENT OF LABOR

Occupational Safety and Health Administration

29 CFR Parts 1910, 1915, 1926, and 1928

[Docket No. H-1221

RIN 1218-AB37

Indoor Air Quality

Correction

In proposed rule document 94-7619 beginning on page 15968 in the issue of Tuesday, April 5, 1994, on page 15968, in the second column, in the DATES

paragraph, *in* the seventh line, "July 5, 1994" should read "June 29, 1994."

BILLING CODE 1505-01-D

SECURITIES AND EXCHANGE COMMISSION

[Release No.3433843; File No. SR-CBOE-94-04]

Self-Regulatory Organizations; Filing of Proposed Rule Change by the Chicago Board Options Exchange, Inc., Relating to Listing Criteria for Certain Hybrid Securities

March 31, 1994.

Correction

In notice document 94-8281 beginning on page 16666 in the issue of Thursday, April 7, 1994, on page 16666, the date set forth above was inadvertently omitted.

BILLING CODE 1505-01-D